ZESA HOLDINGS (PVT) LTD

ACCOUNTING PROCEDURE MANUAL

CASH MANAGEMENT

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1. INTRODUCTION

1.1 Purpose and Structure of the Manual

1.1.1 The purpose of the Zimbabwe Electricity Supply Authority (ZESA) Accounting Procedures Manual is to detail the accounting policies and procedure adopted by ZESA. Compliance with the stated procedures is mandatory except with the specific agreement in writing of the Group Financial Controller.

1.1.2 Copies of this volume are held by the following ZESA offices:-

i. Group Financial Controller;
ii. Finance Directors of Subsidiary Companies

1.1.3 The accounting procedures manual is divided into volumes each dealing with a particular accounting area. Although each volume is complete in itself reference may be required to other volumes to give an overall picture of related systems.

1.2 Scope and Objectives

1.2.1 The overall objectives of the accounting system are:-

i. To ensure that assets and liabilities of ZESA are properly safe guarded, correctly valued and fully recorded in the books of accounts.

ii. To ensure that all transactions entered into by ZESA are recorded in the books of accounts.

iii. To ensure that the Board of Directors is provided with comprehensive, timely and reliable information on the financial performance of ZESA Group of companies as appropriate.

1.3 Changes and Improvements

The manual will be updated when necessary to reflect changes in accounting procedures. Suggestions and improvements to the manual should be conveyed in writing to the Group Financial Controller, whose permission must be obtained prior to any changes being effected.

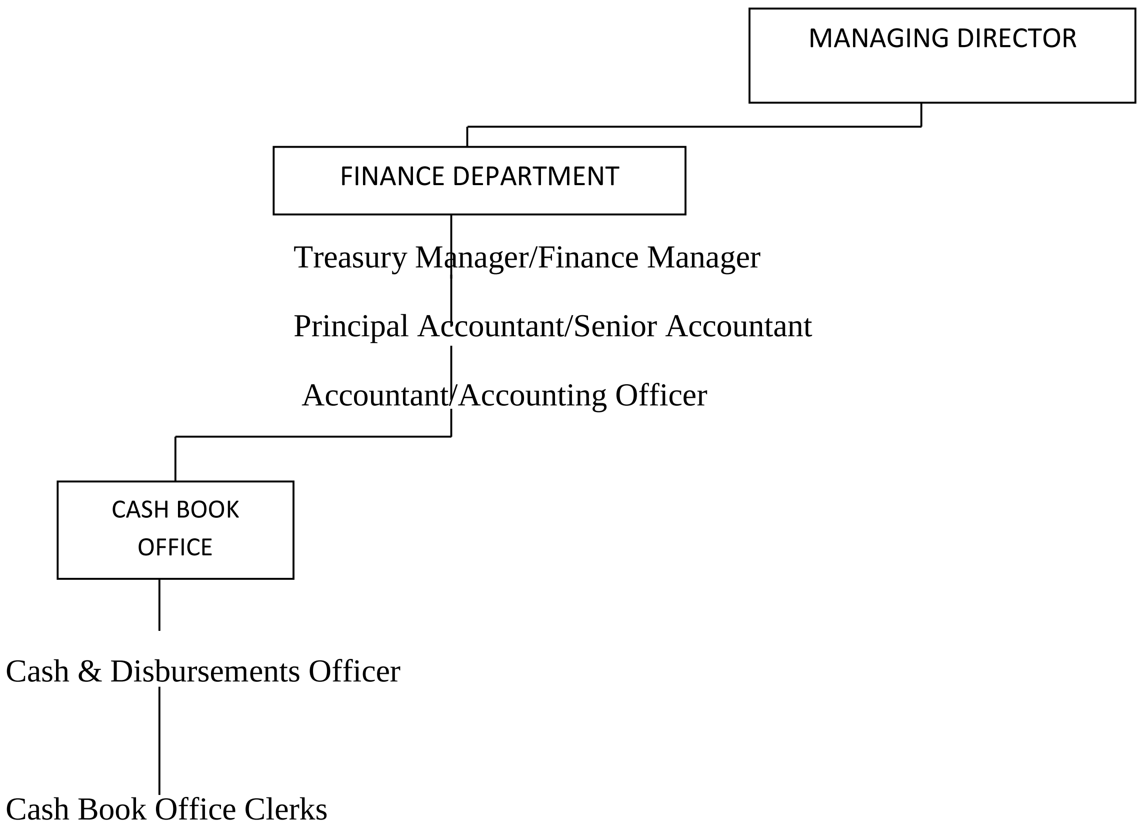
2. ZESA CASH MANAGEMENT OVERVIEW

The objective of the Cash Management system is to establish sound cash management practices to ensure efficient utilization of cash in a manner consistent with the overall strategic goals of the Company.
(In this context, cash would be defined as coins, currency, checks, money orders, Real Time Gross Settlement (RTGS) and credit and debit card payment.)

3. ORGANISATION

An organization chart of the Cash Management System is provided to illustrate how the system fits into the structure of the Finance Department.

ZESA CASH MANAGEMENT CHART



4. COMPLIANCE

Treasury/ Finance department is responsible for ensuring that cash management activities adhere to the Cash Management Policy. Internal audit review cash management activities regularly to ensure compliance with the Cash Management Policy by treasury and all other affiliates of the Group.

All activities and balances in the primary accounts shall be monitored by the Treasury/ Finance department and assess the cash necessary to meet daily obligations and ensure adequate funds are available.

The Treasury /Finance department is responsible for the movement of funds between bank accounts maintained by the Company. This includes, but is not limited to:

- Initiating all transfer of funds for general business purposes.
- Establishing the daily cash position of the Company.
- Appropriately funding disbursement accounts for the company's obligations.
- Moving depository funds for investment purposes of the Company.

Efficient cash management strategies, techniques, and procedures shall be used to increase the productivity of cash flows while achieving the following objectives:

- Liquidity – maintaining the ability to pay obligations when they become due.
- Cash Optimization – establishing systems and procedures that help minimize investment in non-earning cash resources while providing adequate liquidity.
- Financing – obtaining both short- and long-term borrowed funds in a timely manner at an acceptable cost.
- Financial Risk Management - monitoring and assisting in the control of the company's exposure to interest rates, foreign exchange, and other financial risks.
- Coordination - ensuring that cash management goals are communicated and integrated with the strategic objectives and policy decisions of other areas of the company that have an impact on cash flows.

5. INTERNAL CONTROLS FOR CASH MANAGEMENT

Implementing internal controls is important in the cash management section due to the diverse nature of processes involved, i.e., billings, collections, deposits, and disbursement processes, as well as the fragmented oversight responsibilities generally associated with these processes.

The attainment of these principles and standards in the cash management area can be achieved by pursuing the following guidelines:

i. The time-value-of-money shall be recognized as part of each cash management decision.
ii. Cash related transactions shall occur only after the approval of an individual with delegated authority to make approvals.
iii. Cash related transactions shall be fully documented so that an undisputable audit trail exists.
iv. Cash related transactions shall be recorded promptly during each step of the cash handling function.
v. Pre- numbered forms shall be used to document cash related transactions to enhance reconciliation and accountability.

vi. Documents used in cash related transactions shall be kept under lock to avoid re-use, tampering or unauthorized disposal.
vii. The approval of adjustments to cash related transactions shall be administratively controlled/ authorisation.
viii. Supervision of cash management activities shall be strictly and continually administered.
ix. Cash related duties, such as maintenance of accounts receivable, cashiering, accounting, disbursing, and collecting funds shall be segregated.
x. Cash related accounts shall be frequently reviewed and reconciled with subsidiary records to detect errors and duplicate payments.
xi. The accessibility to funds and fund records shall be restricted and administratively controlled.
xii. Only properly designated employees shall handle imprest funds, disbursement certifications, and collection duties.
xiii. Employees' assigned cash related duties shall be trained and must accept their responsibilities.
xiv. Unnecessary clerical routines and handling of cash or cash related documentation shall be eliminated to lessen the risk of loss and exposure to errors.
xv. Deposits shall be processed within prescribed intervals and reconciled against records of funds received.
xvi. Cash disbursement transactions shall be processed promptly, and cash shall be reconciled daily.
xvii. Banks balances shall be closely monitored to prevent unauthorized overdrafts.

6 BANK AND CASH

Objectives of Business process

To ensure:

- Opening and closing of the entity's bank accounts is authorized and approved by the appropriate authority.
- Complete and accurate accounting for the company's cash and cash equivalents.

Policies

At least two signatories should sign on each bank account. The following shall be the main signatories to the ZESA Holdings and Subsidiaries bank accounts:

- Group Financial Controller
- Corporate finance manager
- Finance Director
- Finance Manager
- Treasury Manager
- Managing Director
- Transmission and Distribution Director
- Commercial Director
- Exceptions can be sort through Board Approvals

Key Process Documents

- Bank Reconciliations
- Bank Deposit slips
- Cash collection report
- Transfer forms
- Daily Bank statements
- Daily exchange rates for conversion to reporting currencies
- Commitment listing
- Deposit and Withdrawal Listing
- Departmental cashflow forecasts

7 General Guidelines

Access to Bank statements shall be done online by the Senior Accountant / Finance Manager/ Treasury Manager.

a) The Senior Accountant shall review the contents of the bank statement to note the cash balances and any unusual entries reflected on the statement. After this cursory review is conducted, the Senior Accountant should initial and date the bottom, right hand corner of each bank statement reviewed.

b) The reviewed bank statement shall be forwarded to the Accounting Officer.

c) The Accounting Officer shall check the statements against the Cash Book and record the following:

- Bank Charges and IMTT
- Direct Deposits to the bank
- Possible bank errors

d) Finance Charges:

The Accounting Officer shall review these for reasonableness and correctness.

Interest, bank, loan charges should be checked by recalculation. Supporting bank vouchers should be filed.

The valid entries should be posted to the cash book

e) Direct bank deposits:

- The Accounting Officer shall identify the depositor and post the entry in the cash book

- If the Accounting Officer fails to identify direct deposit, she/he shall write to the bank within 14 days from the receipt of bank statement for more details.
- If the bank fails to provide details of the depositor, the deposit should be cleared to other income with the approval of the senior personal e.g. Finance manager or Finance Director

f) Possible Bank Errors:

The Accounting Officer shall notify the bank of any statement entries that cannot be substantiated. In addition the accounting Officer should identify any deposits made but not reflected on the bank statements. Telephonic contact with the bank should be followed up by a written letter signed by authorized signatories. Interest on call accounts should be credited by the bank. No Cash Book entry should be raised for any bank entry that has no voucher support.

g) After posting all legitimate entries for the whole month, originating from the bank, the Accounting Officer should reconcile bank account by the 15th of the next month.

h) There should be schedule or listing of the amounts of each reconciling heading. The amounts should be dated and referenced.

i) The reconciliation should be submitted to the Senior Accountant who should review and sign by the 20th of each month. The Senior Accountant should ensure that reconciling items that are more than one months old are cleared.

j) Returned funds should be written back into cash book. Payees should be contacted to confirm the benefiaries account details before a new transfer is re-issued.

k) A register of returned funds should be maintained.

l) Returned transfer funds should be reversed and copies and payee should be advised immediately.

8 PETTY CASH SYSTEM

INTRODUCTION

Definition: Petty Cash Voucher System – Is where a company uses a payment voucher on small amounts of discretionary for expenditure where it is not sensible to make any disbursements by transfer because of the inconvenience and costs of writing, signing and cashing the cheque. In addition to that petty cash fund should remain constant, containing cash or satisfactory evidence of disbursement (paid receipts) equal to the amount of the fund.

The following principles should apply to this type of petty cash fund:

- Petty cash should be used to purchase small items only.
- Petty cash should be used in emergency cases only.
- Petty cash may be used for cash only suppliers.
- For control purposes petty cash limit shall be reviewed and approved by the Group Financial Controller.

Procedures

1. Only Senior Local Officials or Designated Officers should handle petty cash funds.
2. The Designated Officer must maintain a petty cash book.
3. The Designated Officer should receive the entire petty cash fund.
4. Cash shortfalls will be settled by custodian on spot.
5. The Designated Officer shall be responsible for keeping petty cash in a safe and lockable cash box.
6. The petty cash box shall be kept locked at all times.
7. The petty cash limits for respective stations shall be reviewed consistently.
8. All petty cash purchases must be approved by any two bank signatories prior to any disbursement and the individual purchases (transactions) should not exceed the approved limit.
9. No disbursement shall be made from petty cash either as loans or advances except for business purposes only.
10. Private funds should not be mixed with petty cash funds.
11. A voucher should be prepared for each petty cash disbursement. Each petty cash voucher should be :
    - Dated
    - Contain an explanation of the expenditure and the original invoice should be attached which clearly show the correct date and the name of the company where the goods were purchased.
    - In the event that office allocations e.g. teas and refreshments are purchased using petty cash, the goods must be checked by the reimbursing officer.
    - Show the amount of expenditure numerically and in words.
    - Be reviewed and signed by the Section Head and Head of Department respectively.
    - Be signed separately by the person requesting and receiving the money
    - Be signed by the person disbursing the money.
12. Expense invoices or till slips should be submitted to the Designated Officer not later than the next working day after such an advance has been made.
13. Amounts requested as advances (for expenses not yet incurred) should be obtained through a travel and subsistence advance request form. The amount will be expensed only

when proof of expenditure (receipts and invoices) have been submitted and balance of funds returned.

14. Travel and subsistence expense exceeding the approved limit shall not be paid using petty cash unless it is an emergency case; otherwise a transfer directly to the person's bank account should be made.
15. Travel and subsistence allowance expense claim form shall be submitted a day after the date indicated as the trip return date on the advances expense claim form.
16. A person is not entitled to a new disbursement until he/she clears any outstanding amounts.
17. The Designated Officer shall follow up any outstanding submissions. The Salaries Section shall be instructed in writing to make recovery deductions with respect to any submissions that are outstanding for more than fourteen working days.
18. The Designated Officer shall post all petty cash expenditure to the General Ledger daily. The petty cash fund and the petty cash book must be reconcilable at all times. The designated Officer must have the actual cash or a signed voucher for any cash that is expended.
19. On irregular basis the Internal Audit Section or Senior Personnel should count petty cash on hand and reconcile the amount counted to vouchers on hand and the petty cash book balance.
20. The Designated Officer must be present when the surprise cash counts are being done.
21. The Designated Officer shall write out petty cash return and submit it together with supporting vouchers to the Senior Personnel in order to get a reimbursement. Petty cash shall be to the extent that petty cash usage is supported by the vouchers submitted.

9 ZESA CLEARING HOUSE

9.1 The ZESA clearing house was set up in 2007 to achieve the following objectives

- Facilitate the efficient and speedy deployment of resources within the Group.
- Ensure transparent and fair distribution of revenue.
- Facilitates the strengthening of accountability within the Group.
- Facilitates the effective trading within the Group.

9.2 The ZESA Clearing House operations have been reviewed following the dollarization of the economy.

9.3 Successful operation of the ZESA Clearing House is dependent on:-

- Commitment of Senior Management within the Group.
- Commitment of accounting staff within the Group

9.4 Procedures

9.4.1. The Clearing House members of staff are responsible for:

- Preparing daily cash collection reports.
- Implementing transfer instructions on behalf of members of the Clearing House i.e. Zimbabwe Power Company (ZPC), Zimbabwe Electricity Transmission and Distribution Company (ZETDC), Powertel Communications and ZESA Enterprises and ZESA Holdings (Pvt) Limited.

- Preparation of Bank Reconciliations
- Preparation of related general ledger reconciliations.

9.4.2 Ensure that all electricity revenue accounts in all the regions fall under the Clearing House.

9.4.3 Ensure that all revenue relating to electricity sales and interest on overdue electricity accounts shall be collected through the revenue accounts.

9.4. 4Revenue collected through the ZESA Clearing House is to be distributed twice a week on Mondays and Thursdays.

9.4.5 All accounts shall be reconciled on a monthly basis.

9.4.6 Transactions in the ZESA clearing accounts shall be authorized by two signatories as follows:- one from Panel A and the other from Panel B.

9.4. 7To ensure transparency, Panel A signatories shall be drawn from ZESA Holdings and Panel B from ZETDC. **ZESA clearing accounts will be managed by the Clearing Unit**

9.4.8 Dedicated current accounts shall be opened in ZETDC Head Office for REA Levy.

9.4.9All costs associated with the operations of the clearing House shall be shared between the participating companies.

9.4.10Management ensures that there is in place a facility that allows for overnight Sweeping/transfer of balances from the various sub-accounts at the bank to the main account.

9.4.11The Group shall operate revenue accounts with reputable commercial banks i.e. Stanbic, Ecobank. All new banks are to be approved by the Board before they are opened.

9.4.13The float in the ZESA Clearing House Bank Accounts can be utilized to cater for bank charges, IMTT and interest payable

9.5 Trading Agreements

9.5.1Transactions between the Zimbabwe Power Company (ZPC) and the Zimbabwe Electricity Transmission and Distribution Company (ZETDC) are to be conducted in line with a Power Purchase Agreement negotiated and agreed between the companies: ZPC shall raise invoices for electricity sold to ZETDC.

9.5.2All subsidiaries shall pay management fees of 3.5% of their revenue to ZESA Holdings.

9.5.3Companies within the Group shall operate at arm’s length.

10 RESPONSIBILITIES OF THE PARTICIPANTS

10.1 VAT: Payment of the VAT shall be the responsibility for all the companies. Each company shall also be responsible for the submission of VAT returns.

10.2 Rural Electrification Levy: ZETDC Head Office shall be responsible for transferring levy collections to REA

10.3 ZERA Levy: Payment of the ZERA levy shall be the responsibility both ZPC and ZETDC.

10.4 Management fee: ZPC and ZETDC's portion of the management fee shall be deducted directly from the clearing account whilst Powertel Communications and ZESA Enterprises shall make separate arrangements with ZESA Holdings

10.5 **Work on Consumer Instillation –** The rates have to be reviewed regularly by ZETDC management in line with movement in inflation

10.6 **Electricity Revenue**: shall be allocated by the Clearing House, taking into account Management fees as follows:-

ZPC	-	40%
ZETDC	-	60% up to the designated threshold and changed to 50% - 50% thereafter.

The electricity tariff between the two entities shall be set and agreed between ZPC and ZETDC and shall generally reflect the above split.
The ring fenced revenue shall be shared according to the agreement between ZPC and ZETDC.

10.7ZESA Enterprises and Powertel will survive on their own income and shall not directly benefit from electricity sales revenue.

However, these two companies shall be paid promptly for services rendered.

Powertel's charges shall be in line with Potraz approved tariff.

10.8Connection fees paid by customers shall not form part of Group Revenue and shall therefore retained by ZETDC and Powertel Communications. It is for this reason that connection fees should be billed or invoiced separately from sundry charges. Such connection fees shall in the interim, be deposited into separate bank accounts maintained at Regional Offices so as to facilitate speedy implementation of customer driven projects.

10.9 **Company Tax:** Each company within the Group shall be responsible for the payment of Corporate Tax and submission of the relevant Tax returns

11 ACCOUNTING GUIDELINES

11.1 Transactions at Regional offices (at billing stage)

11.1.1 Sales to customers (as billed)

DR – Debtors' account
CR - Income Account

11.1.2 REA Levy (as billed)

DR – Debtors

CR – Head office current account

11.1.3 Sales Levy (VAT) as billed

DR – Debtors' account
CR – Head Office current account

11.1.4 Accounting for Work on Consumer Installation (WOCI as billed)

DR – Debtors Account
CR – WOCI Income account

11.1.5 Accounting for ZERA Levy

DR – ZERA expense account
CR – ZERA Levy Payable account

11.1.6 Interest on overdue accounts

DR – Debtors account
CR – Interest income account

11.1.7 Security deposit paid by customers

DR – Bank (Revenue account)
CR – Security Deposit account

11.2 Transactions in ZETDC (Head Office's Books)

11.2.1 Electricity Purchase from ZPC (on receipt of invoice)

DR – Electricity Purchase Account
CR – ZPC Creditor Account

11.2.2 Transfer of REA Levy from Region through current account

DR – Current account
CR – Rural Electrification Levy Payable account

11.2.3 Accounting for VAT (transfer from Region)

DR – Current account
CR – VAT Payable account

11.2.4 Accounting for Management fees

DR – Management fees expense account (3.5% of sales)

CR - ZESA Holdings (Management fees Payable account)

11.3REVENUE COLLECTION

11.3.1 An analysis of the Revenue Collected through clearing bank account shall be made as
follows:-

Total Cash collected	xxx
Less: Finance charges	x
Rea Levy	x
	(xx)

Available for distribution	XXX
	====

11.3.2 Bank charges are to be captured in ZETDC's books.

This cost is to be shared between ZPC, ZETDC and ZESA Holdings

11.3.3 The REA levy collected can be transferred to ZETDC for transfer to REA.

11.3.4 The Management fee payable account should be reconciled at the end of every month to avoid over and under payments to ZESA Holdings

11.3.5 ZETDC is required to pay REA (i.e. respect of Levy) after every sharing.

11.3.6 The ZERA Levy shall be paid by ZETDC and ZPC from their own bank accounts.

11.3.7 VAT shall be paid by every company from their own bank accounts.

12. ACCOUNTING FOR REVENUE COLLECTION

12.1 TRANSACTION IN THE REGION OF THE DISTRIBUTION OF ZETDC

12.1.1 Payment by Customers

DR – Revenue bank account
CR – Debtors accounts

12.1.2 Transfer of balance in Revenue accounts to the ZESA Clearing Bank account

DR - Clearing House bank account
CR - Region Revenue account

12.1.3 All bank accounts should be reconciled by 10th of the following month to reduce chances of error or fraud.

12.2 The following transaction shall be effected in the Clearing House

12.2.1 Transfer from Revenue Bank accounts

DR - Clearing House Bank account
CR - Revenue bank account

12.2.1 Bank charges

DR – Finance charges
CR – Clearing house bank accounts
Bank charges are to be shared between ZESA Holdings, ZPC and ZETDC.

12.2.3 VAT

DR – VAT – Account Payable
CR – ZESA Clearing House Bank account

12.2.4 REA LEVY

DR – REA current account
CR – ZESA Clearing House Bank account

12.2.5 Allocation of Revenue to ZPC (Less Management fee to ZESA Holdings)

DR – ZPC (Creditors) account
CR – ZESA Clearing House Bank account

12.2.6 Allocation of Revenue to ZETDC (Less Management fee to ZESA Holdings)

DR – ZETDC main bank account
CR – ZESA Clearing House Bank account

12.2.7 Accounting for Management fees paid to ZESA Holdings

DR – ZESA Holdings account in ZETDC's book
CR – ZESA Clearing House bank account

12.2.8 Accounting for Management fees paid to ZESA Holdings (ZPC)

DR – ZPC Creditors account
CR – ZESA Clearing House bank account

13 ACCOUNTS TO BE MANAGED BY THE CLEARING HOUSE

13.1 Bank accounts

- All revenue bank accounts
- All Clearing bank accounts

13.2 General Ledger accounts

- REA Levy payable account
- VAT account
- ZERA Levy payable account
- ZESA Holdings Management Fees payable account
- Electricity Purchase accounts internal

14. MONTHLY RETURNS

The Finance Director – ZETDC is required to submit the following returns to the Group Financial Controller at ZESA Holdings

- Disbursement schedule showing how cash collected was allocated. The return should be submitted on Mondays and Thursdays.
- Cashflow Statements for the period
- Bank reconciliations for all clearing house bank accounts shall be performed on monthly bases.
- General ledger reconciliations for the clearing house accounts